NOTE 17. INCOME TAXES

The following table presents the current and deferred income tax provision for federal and state income taxes for the years ended December 31, 2006, 2005 and 2004:

(In thousands)

	2006	2005	2004
Current			
Federal	$ -	$ -	$ -
State	-	1	1
Deferred			
Federal	4,948	-	-
State	849	-	-
Total	$ 5,797	$ 1	$ 1

At December 31, 2006 and 2005, components of net deferred tax assets (liabilities) in the accompanying balance sheet include the following amounts of deferred tax liabilities:

(In thousands)

	December 31,	
Deferred tax asset (liability)	2006	2005
NOL carry-forwards	$ 20,742	$ 13,886
State deferreds	-	(401)
Allowance accounts	-	404
Accrued vacation	-	60
Other reserves	1,171	4,559
Deferred compensation cost	-	1,067
Wellspring deferred tax liability	-	(1,380)
Depreciation	-	25
Stock options	2,384	-
Investment in Distributor	(13,021)	-
	11,276	18,220
Less valuation allowance	(24,297)	(19,600)
Net deferred tax asset (liability)	$ (13,021)	$ (1,380)

Income tax expense differs from the amounts computed by applying the United States federal income tax rate of 34% to income taxes as a result of the following for the years ended December 31, 2006 and 2005 and 2004:

	2006	2005	2004
Federal tax on pretax income at statutory rates	34%	34%	34%
State tax, net of federal benefit	6	6	6
Other	3	(1)	(1)
Valuation allowance	(58)	(39)	(39)
Total	(15%)	0%	0%

As of December 31, 2006, we had total net operating loss carry-forwards for federal and state income tax purposes of $50.3 million and $41.0 million, respectively which start expiring in 2011 through 2026. Included in our total net operating loss carryover, is approximately $17.6 million of net operating losses we inherited as a result of the AVMC acquisition pertaining mainly to the Wellspring division. The utilization of net operating loss carry-forwards may be limited due to the ownership change under the provisions of Internal Revenue Code Section 382 and similar state provisions.

The net increase in our valuation allowance was $4.7 million in 2006, $12.3 million in 2005 and $2.6 million in 2004. All of our deferred income tax assets have been offset by a valuation allowance as management does not believe the recoverability of the deferred income tax assets is more likely than not to occur. The Company has recorded a net deferred tax liability relating to its investment in Genius Products, LLC. The deferred tax liability related to Genius Products, LLC is not offset against the deferred tax assets as the reversal period for this amount is not considered to be determinable on a more likely than not basis.